money. The Indian telecom sector over the past decade has been a good example of this, wherein building durable competitive advantages has proven to be elusive for all the players. The telecom industry in India has grown exponentially over the past decade (41 per cent CAGR in the number of telecom subscribers over FY02–17 from seven million subscribers in FY02 to 1200 million in FY17), industry leader Bharti Airtel has maintained its market share (by number of subscribers) at 20 to 24 per cent. Such exponential growth has been fuelled by heavy capital investments. Over FY07–17, Bharti's standalone business (which largely includes its Indian telecom revenues) had higher 'cash outflows from investing' (i.e. capital investments) than its operating cash flows. Despite these investments and exponential growth in its subscriber base, the firm delivered only 13 per cent revenue CAGR for its Indian telecom business, with its earnings declining from Rs 40 billion in FY07 to a loss of Rs 99 billion in FY17. As a result, pre-tax ROCE declined from 28 per cent to 7 per cent over the decade (using standalone financials). Such businesses' demand for capital is insatiable and investors who have chased growth of such companies have ended up destroying wealth over long periods of time. Bharti Airtel's share price in August 2017 is 2 per cent lower than what it was ten years ago.

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Page controls the master franchise of Jockey (innerwear and leisurewear) and Speedo (swimwear) in India. As shown in the exhibit below, over the past fifteen years (FY02–17), the firm has consistently achieved revenue growth in excess of 10 per cent per annum and ROCE in excess of 15 per cent each year. In compounded annualized terms, over the past fifteen years, Page's revenues have grown at 31 per cent CAGR, earnings have grown at 40 per cent CAGR and ROCE has averaged a staggering 55 per cent.